

THE 4-HOUR WORKWEEK

Escape 9-5, Live Anywhere, and
Join the New Rich

TIMOTHY FERRISS



The Big “So What”

Most people are resigned to the 9-5 lifestyle, deferring their lives in hope that they'll someday earn enough to retire and live their dreams. **This book is about reinventing your life to create time, money and mobility, so you can focus on what truly matters to you.** Join the New Rich (NR)—have the freedom to have, do and be what you want, and to live your life fully.



Introduction

To redesign your life, you need to break free from norms, create an automated income stream, and liberate yourself from unproductive tasks. Only then will you have the time and resources to focus on truly meaningful things in life.

This is a detailed “how-to” guide for reinventing your life, including tools, Q&As and action steps, following the 4-step “DEAL” process (or “DELA” for full-time employees). In this summary, we'll outline the main ideas, steps and tips involved. To put the ideas to work, we recommend that you read the entire book and other useful tips from Ferriss' [blog](#).



Step 1: Definition

Define the New Game (and Beat the Rules)



To become a part of the NR and enjoy an extraordinary life, you must understand the rules and objectives of the new game. The goal is not to stop work or do nothing, nor is it to work hard now to enjoy life later. **It's about creating the freedom of time, money and location, so you can design and live the life you want, now.**

KEY QUOTES

“The New Rich (NR) are those who abandon the deferred-life plan and create luxury lifestyles in the present using the currency of the New Rich: time and mobility.”

*“Everything popular is wrong.”
- Oscar Wilde*

“You can make...a lot more money... by doing half of what you are doing now.”

“Options – the ability to choose – is real power. This book is all about how to see and create those options with the least effort and cost.”

“The goal is not to simply eliminate the bad, which does nothing more than leave you with a vacuum, but to pursue and experience the best in the world.”

Time, lifestyle and freedom of choice are valuable to us. In fact, they're probably worth more than the paper value of money per se.

 **Time.** Someone who works 80 hours a week and earns \$1 million is probably less well-off than someone who works 20 hours a week and earns \$100,000.

 **Lifestyle.** Most of us want to be millionaires because we want the *lifestyle* that the money could bring (e.g. to travel the world or pursue our passions). Rather than slog for the million dollars first, focus on how you can achieve that lifestyle via other alternatives.

 **Choices.** The NR lifestyle is about quality over quantity, and doing the minimum necessary to achieve maximum results. Doing less is not about taking shortcuts, but to do what's effective even if it's uncomfortable. Likewise, achieving more is not about owning everything, but to have the options to choose what matters to you.

However, don't challenge the norms for the sake of doing so. Do it only if current methods aren't effective. **Here are some useful rules of thumb to remember:**



The 10 Commandments of the NR Lifestyle

- **Think of retirement as your worst-case scenario.** Why slog or spend the bulk of your life doing what you dislike, then spend the rest of your days trying make do with whatever savings or physical conditions you have? Treat retirement as your fall-back plan, not your goal.
- Instead, immerse yourself fully in meaningful work, and take “mini-retirements” to fully recharge your batteries. This allows you to harness the cyclical nature of interest and energy, keeping you more productive and energized.
- **Less isn't laziness.** Laziness is blindly following what everyone does, *not* spending less time at work. Focus your effort on doing what's meaningful and productive.
- **There's no “right time”**, so stop waiting for it. Get started and make refinements along the way.

KEY QUOTES

“The question is... How can I achieve the millionaire lifestyle of complete freedom without first having \$1,000,000?”

“Money is multiplied in practical value depending on the number of W's you control in your life: what you do, when you do it, where you do it, and with whom you do it. I call this the ‘freedom multiplier.’”

“Retirement planning is like life insurance. It should be viewed as nothing more than a hedge against the absolute worst-case scenario.”

“Alternating periods of activity and rest is necessary to survive, let alone thrive.”

“Doing less meaningless work, so that you can focus on things of greater personal importance, is NOT laziness.”

- **Don't wait for permission** to do what you want. At worst, take action first, and seek forgiveness if it really turns out badly.
- **Focus on strengths, not weaknesses.** Fixing weaknesses gives marginal improvements while using strengths multiply results.
- **Too much of anything isn't good.** Too much time and money isn't desirable—use your free time wisely.
- Money is useful, but **money alone won't solve all problems.**
- **Measure wealth using relative income,** i.e. money and time, rather than just absolute income (just money).
- **Remove distress, increase eustress.** Distress can harm us, while eustress (“healthy stress”) can bring growth and happiness.

Define the New Game (and Beat the Rules)



Most of us are held back by our fear of the unknown. **To conquer your fears, start by defining them**—It'd probably become obvious that the life-changing outcome of your best-case scenario far outweighs of the risks of the worst-case scenario. This realization was what prompted Ferriss to buy a 1-way ticket to Europe and take a 1-year sabbatical from his business.

Start defining your fears with these questions:

- What's your worst fear and what's the worst thing that could happen if it's realized?
- If this worst case happened, what can you do to repair the damage or improve the situation?
- Besides the worst-case scenario, what are the more probable scenarios and their short- and long- term benefits?
- If you were fired from your job today, what would you have done to manage your financial situation?

KEY QUOTES

“If it isn't going to devastate those around you, try it and then justify it... Most people are fast to stop you before you get started but hesitant to get in the way if you're moving.”

“(Ask) for forgiveness instead of permission.”

“Focus on better use of your best weapons instead of constant repair.”

“Measure the cost of inaction, realize the unlikelihood and repairability of most missteps, and develop the most important habit of those who excel and enjoy doing so: action.”

“What we fear doing most is usually what we most need to do.”

“A person's success in life can usually be measured by the number of uncomfortable conversations he or she is willing to have.”

- What's the cost of your inaction—financial, emotional, physical—relative to the cost of action?
- What's holding you back?

Define your Dreams (with Dream-lining)



Rather than focus on your fear of possible failures, you should be concerned about wasting your life doing things that bore you. **Start by asking: what will excite you?**

The most exciting options are often also “unrealistic” ones. Rather than dismiss your dreams, **use “Dreamlining” to break down your dreams into concrete timelines and actions.** You can refer to detailed worksheets and tools on his [blog](#). Here's an overview of the process:



Define your dream (what you'd do if you could not fail). Create a 6 and 12 month timeline, listing up to 5 things you wish to have, be and do (in that sequence).

- Don't worry if they're realistic.
- Define what “being” means in terms of activity (e.g. “being a great dancer” could mean performing with an international dance troupe).



Identify the **4 key and most exciting dreams** from your 6- and 12-month lists, and work out how much they'll cost.

- Break the figures down into your Target Monthly Income (TMI) and Target Daily Income (TDI).
- The number is often less than expected, especially when you start to declutter your life—itemize your monthly expenses and identify non-essentials that can be removed.



Identify **3 steps for each of the 4 dreams** in the 6 month timeline.

- Do research, and seek advice from someone who has done it before.
- Break these down further into simple and well-defined

KEY QUOTES

“Remember – boredom is the enemy, not some abstract ‘failure.’”

“Excitement is the more practical synonym for happiness, and it is precisely what you should strive to chase. It is the cure-all.”

“Dreamlining is so named because it applies timelines to what most would consider dreams.”

“I'm not a big believer in long-term planning and far-off goals...I generally set 3-month and 6-month dreamlines.”

“Tomorrow becomes never. No matter how small the task, take the first step now!”

activities to complete (a) now (b) tomorrow before 11am and (c) the day after before 11 am. Don't over-analyze or seek perfection – just take action.



Dreamlining at a glance

In _____ months from now, I dream of:

HAVING	COST	BEING	COST	DOING	COST
1. _____	\$ _____	1. _____	\$ _____	1. _____	\$ _____
2. _____	\$ _____	2. _____	\$ _____	2. _____	\$ _____
3. _____	\$ _____	3. _____	\$ _____	3. _____	\$ _____
4. _____	\$ _____	4. _____	\$ _____	4. _____	\$ _____
5. _____	\$ _____	5. _____	\$ _____	5. _____	\$ _____

	Total Dreams Cost \$ _____		Cost (Top 4 Dreams) \$ _____	
	TMI \$ _____	TDI \$ _____	TMI (Top4) \$ _____	TDI (Top4) \$ _____

	What step can I take to make this happen?		
	Right NOW : _____ : _____ : _____	Tomorrow : _____ : _____ : _____	Day After : _____ : _____ : _____



Step 2: Elimination

Be Effective: Free up your time



Busyness is often an excuse to avoid doing what we should. The book contains numerous tips to help you improve personal productivity. Your goal is to increase your income and flexibility (for employees) or to prepare for automation to liberate yourself (for entrepreneurs).

To get productive, you need to focus on doing the right things first (effectiveness), before doing it right (efficiency). There are 2 laws you must understand and apply:



Pareto's Law: 80% of your outputs will come from 20% of your inputs. Ferriss found that 5 of his 120 wholesale customers brought in 95% of his revenues; the bottom clients were giving him 100% of the problems. The same thing happened for advertising, affiliates and partners. By eliminating the less productive majority, he freed up time and unproductive energy.



Pakinson's Law: Work will expand to fill the allotted time. Thus, working 9-5 is inefficient - you'll create activities to fill that time.

KEY QUOTES

"Being busy is most often used as a guise for avoiding the few critically important but uncomfortable actions."

"Efficiency is still important, but it is useless unless applied to the right things."

"More customers is not automatically more income... maximum income from minimal necessary effort...is the primary goal."

Aim for “fat-free performance”, to free up time for meaningful things:



Develop a to-do list, and a not-to-do list, by identifying the 20% of sources that are causing 80% of your problems, and the 20% of sources that are bringing you 80% of positive results.



Use questions like these to trigger answers:

- o If you suffered a heart attack and could only work 4 hours a week, what would you do and how would you do it?
- o If you could only achieve one thing today, what will make you feel satisfied and fulfilled with your day?

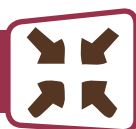


Reduce time for work. Shorten your deadlines so you're forced to take focused action. Take 1-2 days off a week to force yourself to prioritize your time. At least thrice a day, set reminders to ask yourself if you're creating work to avoid do the important things.



Use single-tasking. Multi-tasking gets less (not more) done.

Adopt a Low-Information Diet



We are surrounded by too much (and often wrong) information which hinders productive action. Ferriss personally doesn't read the news, and only checks his business emails for an hour each week. To keep abreast of what's going on, he asks people, “What's new in the world?”, and pays attention to what others talk about.

Ferriss advocates that we **pay attention only to information that's relevant, important and actionable**. Here are some ideas in the book:



Go on a **1-week media fast immediately**. Lay off *all* news, web-surfing (unless needed for a specific work task), and redirect the time toward your family, friends and colleagues. As a last resort, get a 5-minute update from a well-informed contact.



Get data only *if* you'll definitely use it for something **immediate and important**. Otherwise, you'll end up repeating the process.



Learn to stop. It's ok to not-finish something if it's useless.

KEY QUOTES

“Simplicity requires ruthlessness...what would you eliminate to keep the negative effect on income to a minimum?”

“One does not accumulate but eliminate. It is not daily increase but daily decrease. The height of cultivation always runs to simplicity.”

- Bruce Lee

“Problems, as a rule, solve themselves or disappear if you remove yourself as an information bottleneck and empower others.”

“It is imperative that you learn to ignore or redirect all information and interruptions that are irrelevant, unimportant, or unactionable. Most are all three.”

“More is not better, and stopping something is often 10 times better than finishing it.”

Learn to Say No



Constant interruptions are a major time-waster. To master your time, set the rules in your favour:



Limit your accessibility. Identify what you can ignore or minimize, with little/ no ramifications, and “train” people to define their objectives before investing time with them. For example:

- Emails: Turn off email alerts. Only check your email 1-2x daily (during non-prime hours like 12pm and 4pm);
- Phone-calls: Limit time on the phone, e.g. separate your work number from an urgent-only number, start each call by stating you only have a few minutes, and ask how you can help (rather than engage in idle chit-chat);
- Meetings: Ferris shares many tips on how you can refuse or avoid meetings, e.g. use lines like “I can’t be at the meeting, but I’ll catch up later”, don’t accept “casual visitors” at your cubicle, keep meetings to 30 minutes, and use them only to make decisions for pre-defined problems.



Batch repetitive activities. Use time-batching for routine, menial tasks or requests, so you reduce setup costs and free up time for more important priorities. Group these repetitive tasks into batches, e.g. batching your emails, errands, bills.



Minimize interruptions. When people cannot complete a small task without prior data or approval, you get interrupted unnecessarily. The key is to set up, or request, clear rules and guidelines to facilitate autonomy (and review them occasionally):

- If you are a micromanaged employee, initiate an open chat with your boss; say you wish to be more productive and to interrupt him/ her less.
- If you are a micromanaging entrepreneur, learn to empower others to act, e.g. train your team to approach you only with proposed solutions for approval, rather than for answers.

KEY QUOTES

“Do your own thinking independently. Be the chess player, not the chess piece.”
- Ralph Charell

“Learn to be difficult when it counts. In school as in life, having a reputation for being assertive will help you receive preferential treatment without having to beg or fight for it every time.”

“Don’t suffer fools or you’ll become one.”

“It is your job to train those around you to be effective and efficient. No one else will do it for you.”

“People are smarter than you think. Give them a chance to prove themselves.”

Check out the book for a comprehensive list of tools, apps and tips to help you get more effective, efficient, and free up your time.



Step 3: Automation

To design your NR lifestyle, you'll need a steady source of income. The conventional approach is to find a well-paying job (even if it takes up the bulk of your time). A better way is to **build a “muse”—an automated revenue-generator that brings in cash without your hands-on involvement**. Unlike a conventional business, a muse is in line with what you really want to do, and is less business-like.

Learn to Outsource and work with Virtual Assistants



If you recall, our goal is be able to run a business from anywhere in the world (ideally without your direct involvement). To do so, you must learn to outsource effectively. **The key is to refine your rules and processes, so you can automate the process, delegate low-value tasks to focus on the high-value ones.**

- By outsourcing low-end tasks (e.g. research, email administration) to smart, capable virtual assistants (VAs) from countries like India, you can focus your time on more meaningful activities. Even if you earned \$25 an hour, and paid \$30 an hour to a high-quality assistant, it would still be worth it, if the assistant could do the job much faster and better.
- If you are an employee, you can start by outsourcing personal items like errands, or delegating work tasks that don't require you to share your company or work details (e.g. research).

Here are some important outsourcing tips:

- **Delegate what's clear**. Before you delegate tasks, make sure you've eliminated the unnecessary (Step 2 above), and are clear on the scope and rules—delegate only tasks that are well-defined and time-consuming.
- **Remote vs local**. Outsourcing to less developed countries has its benefits, including lower per-hour costs, currency exchange savings, and time zone differences (so your team can work while you sleep). You may want to **consider paying more for experience and native speakers**, to minimize the need for “hand-holding”.

KEY QUOTES

“Find your focus and you'll find your lifestyle.”

“Becoming a member of the NR is not just about working smarter. It's about building a system to replace yourself.”

“Refine rules and processes before adding people.”

“Cash flow and time. With these two currencies, all other things are possible. Without them, nothing is possible.”

“Eliminate before you delegate. Never automate something that can be eliminated, and never delegate something that can be automated or streamlined.”

“Unless something is well-defined and important, no one should do it.”

- You won't know who to hire until you **try out a few candidates**.
- Use a trial project to test suitability/ capability;
- Assess per-task cost rather than per-hour cost, and remember to set a time-cap or budget-cap for each task;
- If possible, use a VA firm with at least 3 people, rather than solo freelancers, to avoid a single point of failure; and
- Ferriss also shared many other tips e.g. how to set priorities and instructions, and protect confidential information via NDAs.
- Learn to **have fun** in the process.

Build your Muse



There are 4 key steps to finding and building your muse:



Step 1: Market Selection. Pick a profitable niche market which you can affordably reach, and define your target customers:

- Consider the social, industrial or professional groups you belong to, and/or are familiar with (e.g. doctors, dancers, engineers).
- Identify the groups that have their own magazines, with full-page ads that cost less than \$5,000.



Step 2: Product Brainstorm. Think of products that you can find or develop, which your customers will likely buy:

- It's easier to satisfy existing demand than to build new demand. Figure out your customers' pain points, to identify products that they'll be willing to buy.
- Do not invest in the products yet; start by creating ads that can be tested with real customers.
- Check that your product can be automated, using these criteria:
 - (i) The main benefit can be summarized in 1 sentence, and the product can be explainable in a good online FAQ;

KEY QUOTES

"Using people to leverage a refined process multiples production; using people as a solution to a poor process multiples problems."

"This...is not for people who want to run businesses but for those who want to win businesses and spend no time on them."

"Creating demand is hard. Filling demand is much easier."

- (ii) It can be sold for \$50-200 (not cheap nor high-maintenance);
- (iii) It has a good margin of ideally 8-10x; and
- (iv) It can be produced in 3-4 weeks.

- There are 3 ways to get a product that meets the criteria above:

- (i) *Resell a product*: This option is the fastest, but also least profitable and most vulnerable to competition.
- (ii) *License a product*: Usually, the licensor gets lower fees (3-10% of sales), and the licensee produces/ sells the products for the remaining 90-97%. This is profitable for both licensor and licensee, but the deal-making processes can be complex.
- (iii) *Create a product*: One of the best products to create are information products, which are low-cost and quick to produce [In the book, Ferriss provides many tips on how to develop your product].



Step 3: Micro-Test your products with the 3-part strategy below to ensure they're commercially sound, before producing them.

- *Study your best competitor* and create a better offer on a basic 1-3 page website. [Refer to pxmethod.com on how to setup a testimonial-rich webpage that highlights your unique factors].
- *Test actual responses* with real customers, using eBay auctions, or Google Adwords campaigns detailed in the book (or refer to Ferriss' [blog](#) for more PPC/ Google AdWords strategies).
- *Review the results*, dropping obvious losers and manufacturing the winner(s) for sales rollout.



Step 4: Rollout and Automation. People management is one of the most complex parts of a business. Since our goal is to create a business which can run itself, **Ferriss suggests that you operate your business via "remote control", away from your team.** That way, you'll be forced to develop rules, and empower people to solve problems. Ferris' company, Brain-QUICKEN LLC, was run by 200-300 people, but he was the only employee - he focused his efforts on policing and refining the system.

KEY QUOTES

"I tell you to solve the problem by eliminating it altogether. Remove the human element".

"Limiting contact with managers forces the entrepreneur to develop operational rules that enable others to deal with problems themselves instead of calling for help."

In the book, he recommends how you can gradually remove yourself from the day-to-day operations of your business, over 3 phases. Some recommendations include:

- Progressively outsource every step of your business to specialist companies who can scale up as your business expands, and allow the various outsourced partners to communicate among themselves.
- Minimize the number of decisions for your customers, e.g. offer only 1-2 purchase options, provide only 1 fast shipping option (charged at a premium), and avoid overnight or international shipments (which are more complex).
- When your business has a steady income stream, start to filter out the bad customers from the good ones. For example, offer a low-priced starter product instead of a free sample, to weed out those who won't buy from you.
- Offer a lose-win guarantee to completely remove the risk for the customer, e.g. Dominos promises that your pizza is free if it's not delivered in 30 minutes.



Step 4: Liberation

Liberation means having the mobility to run your business from anywhere in the world. This involves 3 key components or phases.

Free yourself geographically



If you are an entrepreneur, you'll need to free yourself from the "boss mentality", and remove constraints that tie you to a fixed location. If you are an employee, you'll need to plan an "escape" from your boss and office—here's how you can achieve that in 5 steps:

- Speak with your boss to take up additional training that can improve your productivity—the more the company invests in you, the greater its cost of losing you.
- Call in sick for 2 days and work from home, ensuring you produce better work. Develop a bullet point list of how you achieved more outside the office, and quantify the business benefits.

KEY QUOTES

"Our goal isn't to create a business that is as large as possible, but rather a business that bothers us as little as possible."

"The art of 'undecision' refers to minimizing the number of decisions your customers can or need to make."

"The New Rich are defined by a more elusive power than simple cash – unrestricted mobility."

"The new mantra is this : Work wherever and whenever you want, but get your work done."

- Casually mention to your boss that you were surprised at how much more you achieved while you were away. **Propose a revocable trial** for two days a week, for the next two weeks – highlighting that your boss can veto it anytime if there are work contingencies. Make sure you produce better results from home.
- Set a follow-up meeting with your boss to compare the results of working from home vs office, and propose to **expand the remote hours** (e.g. 4 days each week on a trial basis). Again, your boss has full veto powers to change the arrangement any time.
- Keep following up until you can propose a **permanent work arrangement** away from office. With a solid business case, your boss has no reason to refuse. In the event that he/she refuses, you should consider if it's time to take the plunge and resign. Ferriss addresses several fears or concerns that hold people back from quitting, with tips on how to manage the transition, e.g. knowing how long you can survive financially without a job, and filling up your transition periods with interesting projects so your resume looks colourful.

Take Mini-Retirements



Rather than do “binge travelling” at a stretch after you retire, it's better to take multiple “mini-retirements”. It's a lot more enjoyable, less tiring and much more affordable than you think. Taking time out to slow down and free yourself—mentally, emotionally and physically—from the rat-race will also bring you fresh perspectives, and renewed energy for your work/ business.

In the book, Ferris explains mini-retirements in detail, including:

- A break down the **cost of traveling** to show that it's cheaper to take mini-retirements throughout your life, than to try and retire overseas at the end of your career.
- **Common excuses** not to travel (e.g. belongings, children)—he recommends that you let go of things that you don't need or use, as they create clutter and distractions.
- Detailed **steps and Q&As** on how to prepare for your first mini-retirement.

KEY QUOTES

“Being able to quit things that don't work is integral to being a winner.”

“It's not that you don't know what to do... You are just terrified that you might end up worse off than you are now.”

“Add it all up and you may well realize, like I did, that traveling around the world and having the time of your life can save you serious money.”

Focus on Something Meaningful



Even if you are living your craziest dream—e.g. dropping everything and moving to the Caribbean—you will probably start to feel bored after a while. **Having too much idle time and doing nothing can actually make you depressed. It's better to use your free time to live fully, to do and be more.**

- One of the best ways is to **keep learning**—pick up a new skill, hobby, or language. Learning a new language can be especially meaningful, as it sharpens your mind and gives you new lenses to view and understand the world.
- There are many things that we can do to improve others' life. **Offer your service** to a cause you believe in; don't try to justify it.
- Try out a new part-time or full-time **vocation** that fulfills you.
- Don't dwell on what to do with your life, or how to find your true calling. The ideas above are merely starting points that lead you to new paths and options. **Just start doing something that fulfills you**, and let things unfold naturally. If you're still feeling lost, check out more ideas in the book to get yourself started.



Other Details in the Book to Look Out For

This is essentially a workbook to help you think about, and more importantly, take action toward your dream lifestyle. Although there are enough “how-to” tips to guide you through the process step-by-step, the biggest takeaway is probably the message that, by learning to think for yourself and break free from widely-accepted rules, you can create new options for yourself, and live an exceptional life.

It's impossible to capture all the ideas, tips and examples in this summary. Some other useful details to look out for include:

- A set of Q&A and “comfort challenges” at the end of each chapter, designed to increasingly push you out of your comfort zone (e.g. learning to eye-gaze, being a “terrible two” kid); and

KEY QUOTES

“Decreasing income-driven work isn't the end goal. Living more – and becoming more – is.”

“Too much free time is no more than fertilizer for self-doubt and assorted mental tail-chasing.”

“To live is to learn. I see no other option.”

“Service is an attitude. Find the cause or vehicle that interests you most and make no apologies.”

“Full-time work isn't bad if it's what you'd rather be doing. This is where we distinguish ‘work’ from a ‘vocation’.”

“It's about being smart and putting your effort where it can make the biggest difference for yourself and others.”

“It isn't enough to think outside the box. Thinking is passive. Get used to acting outside the box.”

- Pages of suggested tools, useful websites, scripts and resources for designing and implementing your NR lifestyle.

For more details, do get a copy of the book, or visit www.fourhourblog.com.

About the Author



Timothy "Tim" Ferriss (born 1977) is an American author, serial entrepreneur and public speaker. In addition to speaking six languages, Ferriss runs a multinational firm from wireless locations worldwide. His eclectic passions include being a world record holder in tango, a national champion in Chinese kickboxing and a guest lecturer at Princeton University in high-tech entrepreneurship and electrical engineering.

He has been profiled by The New York Times, National Geographic Traveler, NBC and Maxim. Ferriss is a graduate of Princeton University. For more details, visit www.fourhourblog.com

KEY QUOTES